Garage VC glossary

91 terms used in the Garage tests and course, in plain language.

A

Accelerator
A program that invests a small amount in many early companies at once, usually in exchange for a few percent of equity, and supports them for a few months with advice and introductions.

Acqui-hire
An acquisition where the buyer mainly wants the team. Investors often get back little or nothing.

Angel investor
An individual who invests their own money in early companies, often before any fund does.

Anti-dilution
A term that protects investors if the company later raises money at a lower price, by adjusting how many shares their preferred stock converts into.

ARR
Annual recurring revenue. The yearly value of subscription contracts currently in place.

B

Backchannel reference
A reference call with someone the founders did not suggest, such as a former colleague or employee.

Board of directors
The group that oversees the company, approves major decisions, and can hire or fire the CEO.

Bootstrapped
Built without outside investment, funded by revenue or the founders' own money.

Bridge round
A small round, often from existing investors, that keeps a company going until a larger raise or a milestone.

Burn multiple
Net cash burned divided by net new ARR over the same period. Lower is more efficient.

Burn rate
How much cash a company loses each month.

C

CAC
Customer acquisition cost. Total sales and marketing spend divided by the number of new customers won.

CAC payback
The number of months of gross profit needed to earn back the cost of acquiring a customer.

Cap table
The list of everyone who owns part of the company and how much, including options and convertible instruments.

Capital call
A request from the fund to its LPs to send part of the money they committed, usually when the fund needs it for investments or fees.

Carried interest
The share of a fund's profits paid to the GPs, typically 20%, after LPs get their capital back.

Churn
The rate at which customers or revenue are lost over a period.

Cohort
A group of customers who started in the same period, tracked together over time.

Committed capital
The total amount LPs have promised to a fund, called over time.

Common stock
The class of shares usually held by founders and employees, with no special rights in a sale.

Continuation fund
A new vehicle that buys one or more companies from an older fund so the GP can keep holding them past the original fund's term.

Convertible note
A loan that turns into equity at a future round, usually with a discount or valuation cap.

Cram-down
A round on harsh terms that heavily dilutes existing shareholders who do not put in more money.

D

Deal flow
The stream of investment opportunities a fund sees.

Deployment
How much of a fund's capital has been invested so far.

Dilution
The drop in an owner's percentage when a company issues new shares.

Down round
A round at a lower valuation than the previous one.

DPI
Distributions to paid-in capital. Cash returned to LPs divided by what they paid in.

Drag-along
A term that lets a majority of shareholders force the rest to join a sale.

Dry powder
Capital a fund has raised but not yet invested.

Due diligence
The work an investor does to check a company before investing: calls, data review, and legal checks.

E

Emerging manager
A GP raising one of their first few funds.

Exit
The event that turns an investment into cash, such as an acquisition or IPO.

F

Follow-on investment
A later investment by a fund in a company it already backs.

Fully diluted
Ownership counted as if every option, warrant, and convertible had become shares.

Fund of funds
A fund that invests in other venture funds rather than in companies.

G

General partner (GP)
The person or firm that manages a venture fund and makes its investment decisions.

Gross margin
Revenue minus the direct cost of delivering the product, as a share of revenue.

Growth equity
Investment in companies that already have substantial revenue, usually with less risk and lower upside than early-stage venture.

H

Hurdle rate
The minimum return LPs must receive before GPs earn carry. Also called the preferred return.

I

Investment committee
The group of partners who vote on whether the fund invests.

Investment memo
The written case for or against an investment, shared with the investment committee.

Investment period
The first few years of a fund, when it can make new investments.

IPO
Initial public offering. The first sale of a company's shares on a public stock exchange.

IRR
Internal rate of return. An annualized return that accounts for when money went in and came out.

J

J-curve
The pattern where a fund's value dips in the early years from fees and early losses, then rises as winners grow.

L

Lead investor
The investor who sets the terms of a round and usually puts in the largest check.

Limited partner (LP)
An investor in a venture fund, such as a pension fund, endowment, or family office.

Liquidation preference
The right of preferred investors to be paid before common shareholders in a sale. Usually 1x the amount invested.

Lock-up
A period after an IPO when insiders cannot sell their shares, often six months.

LTV
Lifetime value. The total gross profit a customer is expected to bring over the relationship.

M

Management fee
The annual fee a fund charges LPs, often about 2% of committed capital, to cover operating costs.

Mark-up
An increase in the reported value of a holding, usually after the company raises at a higher price.

MOIC
Multiple on invested capital. The value returned divided by the amount invested.

MRR
Monthly recurring revenue.

N

Net revenue retention (NRR)
Revenue from a group of customers now compared with the same group a year ago, counting upgrades, downgrades, and churn.

Non-participating preferred
Preferred stock that receives either its liquidation preference or its share of the proceeds, whichever is higher, but not both.

O

Option pool
Shares set aside to grant to future employees.

Ownership target
The percentage of a company a fund aims to own after its investment.

P

Participating preferred
Preferred stock that receives its liquidation preference and then also shares in the remaining proceeds.

Pay-to-play
A term requiring existing investors to join a new round or lose some of their rights.

Portfolio construction
A fund's plan for how many companies to back, check sizes, and reserves.

Post-money valuation
The value of a company right after a round, including the new money.

Power law
A pattern where a small number of outcomes account for most of the total. Venture returns follow one.

Pre-money valuation
The value of a company right before a round.

Pre-seed
The earliest institutional round, often before a product or revenue.

Preferred stock
The class of shares investors usually receive, with extra rights such as a liquidation preference.

Pro rata rights
The right to invest in later rounds to keep the same ownership percentage.

Product-market fit
The point where a product satisfies strong demand in a market, so growth starts to pull the company forward.

R

Recycling
Reinvesting early returns from a fund into new investments instead of distributing them.

Reserves
Capital a fund holds back for follow-on investments.

Runway
How many months a company can operate before it runs out of cash at the current burn rate.

S

SAFE
Simple agreement for future equity. An investment that converts into shares at a later priced round, often with a valuation cap.

Scout
A person who invests a small amount on a fund's behalf and shares in the returns.

Secondary sale
A sale of existing shares from one holder to another, with no new money going to the company.

Seed round
An early round used to find product-market fit, usually after some product exists.

Series A
Typically the first large priced round, used to build a repeatable way to grow.

Series B
A round used to scale a business that is already working.

SPV
Special purpose vehicle. A one-off entity that pools money from several investors for a single deal.

Step-up
How much higher a new round's price is than the previous one.

Syndicate
A group of investors who invest together in a round, often organized by a lead.

T

TAM, SAM, SOM
Total, serviceable, and obtainable market. Three ways of sizing the revenue a company could reach.

Term sheet
A short, mostly non-binding document that sets out the main terms of an investment.

Tender offer
An offer to buy shares from many existing shareholders at once, often employees.

Thesis
The stages, sectors, and regions a fund has told its LPs it will invest in.

TVPI
Total value to paid-in capital. Cash returned plus the value of remaining holdings, divided by what LPs paid in.

U

Unit economics
The revenue and costs tied to a single customer or transaction.

V

Valuation cap
The maximum valuation at which a SAFE or note converts into shares.

Venture debt
Loans to venture-backed companies, often used to extend runway between equity rounds.

Vesting
Earning shares or options over time, commonly four years with a one-year cliff.

W

Warrant
The right to buy shares at a set price in the future, often attached to venture debt.

Garage is an educational simulation. Nothing here is investment advice.